

Federal Home Loan Mortgage Corporation

Enterprise Regulatory Capital Framework (ERCF) Public Disclosures for the Standardized Approach

For the quarterly period ended June 30, 2026

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INTRODUCTION

Business Overview

Freddie Mac is a Government-Sponsored Enterprise (GSE) chartered by Congress in 1970, with a mission to provide liquidity, stability, and affordability to the U.S. housing market. We do this primarily by purchasing single-family and multifamily residential mortgage loans originated by lenders. In most instances, we package these loans into guaranteed mortgage-related securities, which are sold in the global capital markets, and transfer interest-rate and liquidity risks to third-party investors. In addition, we transfer a portion of our mortgage credit risk exposure to third-party investors through our credit risk transfer (CRT) programs, which include securities- and insurance-based offerings. We also invest in mortgage loans, mortgage-related securities, and other types of assets. We do not originate mortgage loans or lend money directly to mortgage borrowers.

Since September 2008, we have been operating in conservatorship, with the Federal Housing Finance Agency (FHFA) as our Conservator. The conservatorship and related matters significantly affect our management, business activities, financial condition, and results of operations.

- For additional information on the conservatorship and related matters, as well as our Purchase Agreement with the U.S. Department of the Treasury (Treasury), refer to the 2025 Annual Report on Form 10-K (2025 Form 10-K) at 3 (Conservatorship and Government Support for Our Business), 88 (Conservatorship and Related Matters), 91 (Regulation and Supervision), and 129 (Note 2 Conservatorship and Related Matters).

We are required to provide timely public disclosures each calendar quarter of the information specified in subparts D and F of the ERCF. This ERCF Public Disclosures for the Standardized Approach (Report) fulfills this requirement for 2Q 2026. The Report should be read in conjunction with our 2025 Form 10-K and 2Q 2026 Form 10-Q, which have been filed with the U.S. Securities and Exchange Commission (SEC). This Report is not required to be, nor has it been audited by our independent registered public accounting firm, as some measures of exposures contained in this Report may not be consistent with GAAP and may not be comparable with measures reported in our 2Q 2026 Form 10-Q and 2025 Form 10-K.

- For additional information on the ERCF and its corresponding risk-based capital requirements and leverage capital requirements, refer to the 2025 Form 10-K at 83 (ERCF) and 199 (Note 18 Regulatory Capital). For additional information on specific ERCF provisions, including requirements on public disclosure, refer to the 2025 Form 10-K at 92 (Capital Standards and Public Disclosures).

RISK MANAGEMENT

To achieve our mission of providing liquidity, stability, and affordability to the U.S. housing market, we take risks as an integral part of our business activities. Risk is the possibility that events will occur that adversely impact our financial strength, safe and sound operations, and ability to achieve our mission, strategic, and business objectives. Risk can manifest itself in many ways and the responsibility for risk management resides at all levels of the company. We seek to take risks in a safe and sound, well-controlled manner to earn acceptable risk-adjusted returns on a corporate-wide, divisional, and, where applicable, transaction basis. Our goal is to maintain an effective risk culture where employees are risk aware, collaborative, transparent, and individually accountable for their decisions, and to conduct business in an effective, legal, and ethical manner.

We utilize a risk taxonomy to define, classify, and report risks that we face in operating our business. These risks have the potential to adversely affect our current or projected financial and operational resilience. Risks are classified into the following categories:

- Credit Risk;
- Market Risk;
- Liquidity Risk;
- Operational Risk;
- Compliance Risk;
- Legal Risk;
- Strategic Risk; and
- Reputation Risk.

These risks are factored into our business decisions, as appropriate.

- For additional information on Enterprise Risk Framework and Enterprise Risk Governance Structure, refer to the 2025 Form 10-K at 38-39.

For more detailed discussions of specific components of our risk management processes, refer to the following sections in this Report: 4 (Credit Risk), 5 (Counterparty Credit Risk), 6 (Credit Risk Mitigation), 7 (CRT and Securitization), 9 (Interest-Rate Risk), 10 (Operational Risk), and 12 (Market Risk). In addition, ERM has dedicated Enterprise Credit Risk and Market Risk functions to examine these risks.

1. CAPITAL STRUCTURE

The ERCF establishes risk-based and leverage capital requirements and includes capital requirements relating to the amount and form of the capital we hold, based largely on the definitions of capital used in U.S. banking regulators' regulatory capital framework. The ERCF capital requirements contain both statutory capital elements (total capital and core capital) and regulatory capital elements (CET1 capital, Tier 1 capital, and adjusted total capital).

Terms and Conditions of Capital Instruments

Common Stock and Preferred Stock

As of June 30, 2026, Freddie Mac has 21 classes of securities registered under Section 12 of the Securities Exchange Act of 1934, as amended: (1) our voting common stock, no par value per share (Common Stock), and (2) 20 series of perpetual, non-cumulative preferred stock, par value of $1.00 per share (Preferred Stock). We also have four classes of perpetual, non-cumulative preferred stock outstanding that were issued through private placement and are not registered under Section 12.

Dividends on shares of our Common Stock are not mandatory. Dividends on shares of our Preferred Stock are not mandatory and are non-cumulative.

During conservatorship, the holders of our Common Stock have no voting rights. Upon its appointment as Conservator, FHFA immediately succeeded to the voting rights of holders of our Common Stock, including the right to elect members of our Board of Directors.

- For additional information on Common Stock and Preferred Stock, refer to the 2025 Form 10-K at Exhibit 4.30 (Description of Registrant’s Securities Registered Pursuant to Section 12 of The Securities Exchange Act of 1934).

Senior Preferred Stock

- For information on the Purchase Agreement with Treasury and Senior Preferred Stock, refer to the 2025 Form 10-K at 129 (Note 2 Conservatorship and Related Matters) and 169 (Note 11 Stockholders' Equity and Earnings Per Share).

Reconciliation of Regulatory Capital Elements

The table below presents a reconciliation from stockholders’ equity on the GAAP consolidated balance sheets to regulatory capital components, as well as composition of core capital and total capital.

Components of our total stockholders’ equity include Senior Preferred Stock, Preferred Stock, Common Stock, retained earnings, accumulated other comprehensive income (AOCI) net of taxes, and treasury stock.

Table 1.1 - Reconciliation of GAAP Stockholders' Equity to Regulatory Capital and Statutory Capital Components

	(Dollars in millions)	June 30, 2026 Amount
GAAP	Common stock	$—
	Treasury stock	(3,885)
	Retained earnings	(5,143)
	Accumulated other comprehensive income (AOCI), net of taxes	40
	Preferred stock	14,109
	Senior Preferred Stock[1]	72,648
	Stockholders' Equity under GAAP	**77,769**
Regulatory Capital	Less: Senior Preferred Stock & Preferred stock	86,757
	Common stockholders' equity	(8,988)
	Less:	
	Goodwill[2]	—
	Other intangible assets[2]	—
	Deferred tax assets (DTAs)[2, 3]	4,490
	AOCI-related adjustments[4]	(89)
	Other deductions[2, 5]	243
	Common Equity Tier 1 (CET1) Capital	**(13,632)**
	Qualifying preferred stock	14,109
	Other adjustments and deductions	—
	Tier 1 Capital	**$477**
	Qualifying subordinated debt and other instruments	—
	Qualifying allowance for credit losses	—
	Other adjustments and deductions	—
	Tier 2 Capital	—
	Adjusted Total Capital	**$477**
Statutory Capital	Par value or stated value of outstanding common stock	$—
	Par value or stated value of outstanding perpetual, noncumulative preferred stock	464
	Paid-in capital	13,645
	Retained earnings	(5,143)
	Treasury stock	(3,885)
	Total Core Capital	**5,081**
	General allowance for foreclosure losses[6]	7,228
	Other[7]	—
	Total Capital	**$12,309**

[1] Pursuant to the Purchase Agreement, we issued one million shares of senior preferred stock to Treasury on September 8, 2008. Shares of the senior preferred stock have a par value of $1.00.
[2] Net of associated deferred tax liabilities (DTLs), where applicable.
[3] DTAs arising from temporary differences that could not be realized through net operating loss carrybacks, net of related valuation allowances and net of DTLs, that exceed the 10% CET1 deduction threshold.
[4] Accumulated net loss on cash flow hedges included in AOCI, net of applicable income taxes, that relate to the hedging of items that are not recognized at fair value on the balance sheet.
[5] Mortgage Servicing Assets, net of associated DTLs, that exceed the 10% CET1 capital deduction threshold.
[6] Represents our allowance for credit losses.
[7] From sources of funds available to absorb losses that the Director by regulation determines are appropriate.

2. CAPITAL ADEQUACY

In 2020 FHFA established the ERCF, which requires us to hold substantially more capital than prior capital-related requirements. The ERCF became effective on February 16, 2021. As of June 30, 2026, our capital levels (both risk-based capital and Tier 1 leverage capital) were below the required levels as we are still in the process of building our regulatory capital base.

We are not required to comply with the regulatory capital requirements or the buffer requirements while in conservatorship. With respect to the ERCF's advanced approaches requirements, the compliance date is January 1, 2028, or any later compliance date specified by FHFA. For additional information on ERCF capital requirements, refer to the Introduction.

In October 2008, FHFA suspended capital classification of us during conservatorship, in light of the Purchase Agreement.

Our entry into conservatorship resulted in significant changes to the assessment of our capital adequacy and our management of capital. We entered into the Purchase Agreement with Treasury, pursuant to which we issued to Treasury both senior preferred stock and a warrant to purchase 79.9% of our common stock outstanding on a fully diluted basis on the date of exercise. Under the Purchase Agreement, Treasury made a commitment to provide us with equity funding in certain conditions to eliminate deficits in our net worth. Our ability to obtain equity funding from Treasury pursuant to its commitment under the Purchase Agreement has enabled us to avoid being placed into receivership by FHFA and maintain the confidence of the debt markets as having very high-quality credit, upon which our business model is dependent. The amount of available funding remaining under the Purchase Agreement was $140.2 billion as of June 30, 2026, which will be reduced by any future draws.

- For additional information on the Purchase Agreement, refer to the 2025 Form 10-K at 83 (Capital Resources). For additional information on the Net Worth Activity, refer to the 2Q 2026 Form 10-Q at 30 (Table 34 - Net Worth Activity).
- For additional information on FHFA as Conservator, refer to the 2025 Form 10-K at 88 (Conservator Powers Over Our Company and Purchase Agreement, Warrant, and Senior Preferred Stock).
- For a summary discussion of our approach to assessing the adequacy of our capital to support current and future activities, refer to the 2025 Form 10-K at 83 (Capital Resources), and 92 (Capital Standards and Public Disclosures).

Risk-Weighted Assets and Adjusted Total Assets

The ERCF establishes two approaches for calculating RWA (the "standardized approach" and the "advanced approach"). The risk-based capital requirements are determined using the higher of the RWA calculated under each approach. Under both approaches, our RWA equals the sum of our credit RWA, market RWA, and operational RWA. However, as noted above, the compliance date for the advanced approaches requirements is January 1, 2028, or any later compliance date specified by FHFA. For information related to ATA and its components, refer to Section 11 Tier 1 Leverage Ratio.

The table below presents our ATA and standardized RWA and its components.

Table 2.1 - Adjusted Total Assets and Standardized Risk-Weighted Assets[8]

	June 30, 2026
(Dollars in millions)	Amount
Adjusted Total Assets	$3,905,479
Risk-weighted Assets (Standardized Approach)	1,260,659
Credit Risk	1,114,675
Market Risk	72,756
Operational Risk	73,228

[8] ATA and RWA include regulatory adjustments and deductions.

Regulatory Capital Amounts and Ratios

The table below presents our regulatory capital amounts and ratios under the ERCF and required capital versus available capital.

Table 2.2 - ERCF Available Capital and Capital Requirements

	June 30, 2026				
(Dollars in billions)	Minimum Capital Requirement	Applicable Buffers[9]	Capital Requirement (including Buffer)	Available Capital (Deficit)	Capital Shortfall
Risk-based capital amounts:					
Total capital (statutory)[10]	$101	N/A	$101	$12	($89)
CET1 capital[11]	57	$60	117	(14)	(131)
Tier 1 Capital[11]	76	60	136	—	(136)
Adjusted Total Capital[11]	101	60	161	—	(161)
Risk-based capital ratios:[12]					
Total capital (statutory)	8.0 %	N/A	8.0 %	1.0 %	(7.0)%
CET1 capital	4.5	4.7 %	9.2	(1.1)	(10.3)
Tier 1 Capital	6.0	4.7	10.7	—	(10.7)
Adjusted Total Capital	8.0	4.7	12.7	—	(12.7)
Leverage capital amounts:					
Core capital (statutory)[13]	$98	N/A	$98	$5	($93)
Tier 1 Capital[11]	98	$15	113	—	(113)
Leverage capital ratios:[14]					
Core capital (statutory)	2.5 %	N/A	2.5 %	0.1 %	(2.4)%
Tier 1 Capital	2.5	0.4 %	2.9	—	(2.9)

[9] PCCBA for risk-based capital and PLBA for leverage capital.
[10] Total capital is equal to core capital plus certain allowances for credit losses.
[11] Regulatory capital amounts exclude senior preferred stock, DTA arising from temporary differences that exceed 10% of CET1 capital, and certain other items.
[12] As a percentage of RWA.
[13] Core capital excludes certain components of GAAP total equity (i.e., AOCI and senior preferred stock) as these items do not meet the statutory definition of core capital.
[14] As a percentage of ATA.

Credit Exposure and RWA Under Different Categories

The table below presents our credit exposure and RWA under different categories. Details on our market RWA are covered in the Market Risk section.

Table 2.3 - Credit Risk Exposure and RWA

	June 30, 2026	
(Dollars in millions)	**Exposure**	**Credit RWA**
Exposures to the U.S. Government/Sovereign entities	$71,468	$9
Exposures to certain supranational entities and MDBs	—	—
Exposures to GSEs	292,832	2,610
Exposure to depository institutions and credit unions	3,933	787
Exposures to PSEs	343	171
Corporate exposures	30	1
Aggregate Single-Family mortgage exposures categorized by:[15]	1,584,260	647,904
(i) Performing loans;	1,526,622	598,594
(ii) Non-modified re-performing loans;	14,794	10,134
(iii) Modified re-performing loans;	30,001	19,971
(iv) Non-performing loans	12,843	19,205
Aggregate Multifamily mortgage exposures categorized by:	44,637	26,832
(i) Multifamily fixed-rate exposures;	32,267	15,675
(ii) Multifamily adjustable-rate exposures	12,370	11,157
Non-mortgage related past-due items	—	—
Insurance assets	267	164
Off-balance sheet exposures	172	23
Cleared transactions	601	20
Default fund contributions	1,468	658
Unsettled transactions	—	—
CRT and other securitization exposures[16]	2,011,609	416,742
Equity exposures	5,545	5,545
Other assets[17]	42,195	13,209
Total	**$4,059,360**	**$1,114,675**

[15] Excludes mortgages that are part of CRT transactions and we have elected CRT treatment for those transactions.
[16] Includes mortgages that are part of CRT transactions and we have elected CRT treatment; Credit RWA is net of the benefit from these transactions.
[17] Other assets primarily consist of guarantee fee assets, commitments, cash in process of collection and other miscellaneous assets.

3. CAPITAL BUFFERS

The ERCF includes a requirement that we hold prescribed capital buffers that can be drawn down in periods of financial stress and then rebuilt over time as economic conditions improve. If we fall below the prescribed buffer amounts, we must restrict capital distributions such as stock repurchases and dividends, as well as discretionary bonus payments to executives, until the buffer amounts are restored. The ERCF prescribes two types of capital buffers as described below.

- For additional information related to the ERCF's risk-based and leverage capital requirements, refer to the Introduction.

Prescribed Capital Conservation Buffer Amount (PCCBA)

To avoid limitations on capital distributions and discretionary bonus payments tied to executive compensation, we also must maintain CET1 capital that exceeds the risk-based capital requirements by at least the amount of the PCCBA. The PCCBA consists of three separate component buffers: a stress capital buffer, a stability capital buffer, and a countercyclical capital buffer.

The stress capital buffer must be at least 0.75% of our ATA as of the last day of the previous calendar quarter. FHFA will periodically re-size the stress capital buffer to the extent that FHFA's eventual program for supervisory stress tests determines that our peak capital exhaustion under a severely adverse stress scenario would exceed 0.75% of ATA.

The stability capital buffer is tailored to the risk that our default or other financial distress could pose to the liquidity, efficiency, competitiveness, or resiliency of national housing finance markets. The stability capital buffer is based on our share of residential mortgage debt outstanding and is calculated on an annual basis. The stability capital buffer will be updated based on this calculation with an effective date that depends on whether it increases or decreases relative to the previously calculated value. As of June 30, 2026, our stability capital buffer was 0.78% of ATA.

The countercyclical capital buffer is currently set at 0.0% of our ATA. FHFA has indicated that it will adjust the countercyclical capital buffer taking into account the macro-financial environment in which we operate, such that the buffer would be deployed only when excess aggregate credit growth is judged to be associated with a build-up of system-wide risk.

Prescribed Leverage Buffer Amount (PLBA)

To avoid limitations on capital distributions and discretionary bonus payments tied to executive compensation, we also must maintain Tier 1 capital that exceeds the leverage capital requirements by at least the amount of the PLBA. The PLBA is equal to 50% of our stability capital buffer.

Available Capital Buffers

Our current capital levels are significantly below the levels that would be required under the ERCF. The ERCF has a transition period for compliance, and we are not required to comply with the buffer requirements specified below while in conservatorship. In general, the compliance date for buffer requirements in the ERCF will be the date of termination of our conservatorship.

- For additional information on ERCF capital buffers, refer to the 2025 Form 10-K at 83 (ERCF).

Required Capital Buffers and Related Metrics

The table below presents our required regulatory capital buffers and payout metrics as of June 30, 2026. As of June 30, 2026, our maximum payout ratio under the ERCF was 0.0%, which applies to limit our capital distributions and discretionary bonus payments discussed under the risk-based and leverage capital requirements.

Table 3.1 - Required Capital Buffers and Payout Metrics

	June 30, 2026
(Dollars in millions)	Amount
Prescribed Capital Conservation Buffer Amount (PCCBA)	$59,839
Stress Capital Buffer	29,271
Stability Capital Buffer	30,568
Countercyclical Capital Buffer	—
Prescribed Leverage Buffer Amount (PLBA)	15,284
Eligible Retained Income[18]	11,495
Risk-based Capital Maximum Payout Ratio	— %
Leverage Maximum Payout Ratio	— %
Maximum Payout Amount	—

[18] The eligible retained income is the greater of: (i) net income, as defined under GAAP, for the four calendar quarters preceding the current calendar quarter, net of any distributions and associated tax effects not already reflected in net income; and (ii) the average net income for the four calendar quarters preceding the current calendar quarter.

4. CREDIT RISK: GENERAL DISCLOSURES

Credit risk is the risk associated with the inability or failure of a borrower, issuer, or counterparty to meet its financial and/or contractual obligations. We are exposed to counterparty credit risk (see Section 5. Counterparty Credit Risk), and two types of mortgage credit risks listed below:

- Single-Family mortgage credit risk, through our ownership or guarantee of loans in our Single-Family mortgage portfolio and
- Multifamily mortgage credit risk, through our ownership or guarantee of loans in our Multifamily mortgage portfolio.

- For information on how we execute Single-Family and Multifamily mortgage credit risk management strategies and a detailed discussion on our credit risk management, refer to the 2025 Form 10-K at 40 (Credit Risk).
- For information on accounting treatment of past due loans, placing loans on non-accrual, and returning loans to accrual status, refer to the 2025 Form 10-K at 141 (Interest Income).

Allowance for Credit Losses Methodology

Our allowance for credit losses on mortgage loans pertains to single-family and multifamily loans classified as held-for-investment for which we have not elected the fair value option. We measure the allowance for credit losses on a pooled basis when our loans share similar risk characteristics. We recognize changes in the allowance for credit losses through provision or benefit for credit losses on our consolidated statements of income.

Charging-off Uncollectible Amounts

We record charge-offs in the period in which a loan is deemed uncollectible. Proceeds received in excess of amounts previously written off are recorded as a decrease to non-interest expense on our consolidated statements of income.

- For additional information on allowance for credit losses methodology and charging-off uncollectible amounts, refer to the 2025 Form 10-K at 154 (Allowance for Credit Losses Methodology).

Credit Risk Exposures and Types

We have an Enterprise Credit Risk Policy that defines credit risk management, roles and responsibilities, and governance requirements among different stakeholders.

- For mortgage loans by Single-Family and Multifamily, refer to the 2Q 2026 Form 10-Q at 46 (Table 3.1 - Mortgage Loans). The table provides details of the loans on our consolidated balance sheets.
- For information on mortgage portfolio's Unpaid Principal Balance (UPB), mortgage-related investments portfolio, and other investments portfolio, refer to the 2Q 2026 Form 10-Q at 9 (Our Portfolios).
- For financial guarantees by Single-Family and Multifamily, refer to the 2Q 2026 Form 10-Q at 57 (Table 4.1 - Financial Guarantees). The table presents our financial guarantees' maximum exposure, recognized liability (excludes allowance for credit losses on off-balance sheet credit exposures), and maximum remaining term.
- For mortgage loan purchase commitments and other commitments, refer to the 2Q 2026 Form 10-Q at 58 (Table 4.3 - Other Off-Balance Sheet Credit Exposures).
- For details on investment securities exposures, refer to the 2Q 2026 Form 10-Q at 60 (Note 6 Investment Securities).
- For accounting offsets to credit risk exposures as well as collateral information of financial assets and liabilities, refer to the 2Q 2026 Form 10-Q at 64 (Table 8.2 - Offsetting of Derivatives) and 67 (Table 9.1 - Offsetting and Collateral Information of Certain Financial Assets and Liabilities). The tables present offsetting and collateral information related to derivatives, securities purchased under agreements to resell, and securities sold under agreements to repurchase which are subject to enforceable master netting agreements or similar arrangements.
- For average credit risk exposures, refer to the 2Q 2026 Form 10-Q at 5 (Table 3 - Analysis of Net Interest Yield). The table presents an analysis of interest-earning assets and interest-bearing liabilities and also average asset balance (excluding the average balances of off-balance sheet exposures).

Mortgage Portfolio Geographic Distribution

The tables below summarize the concentration by geographic area of our Single-Family mortgage portfolio and Multifamily mortgage portfolio.

Table 4.1 – Concentration of Credit Risk of Our Single-Family Mortgage Portfolio

	June 30, 2026		
(Dollars in millions)	Portfolio UPB[19]	% of Portfolio	Seriously Delinquent Rate
Region:[20]			
West	$922,030	29 %	0.47 %
Northeast	732,103	23	0.63
Southeast	569,212	18	0.69
Southwest	481,976	15	0.64
North Central	466,685	15	0.60
Total	**$3,172,006**	**100 %**	**0.60**
State:			
California	$507,190	16 %	0.46
Texas	231,131	7	0.72
Florida	214,660	7	0.83
New York	139,558	4	0.82
Illinois	118,733	4	0.72
All other	1,960,734	62	0.57
Total	**$3,172,006**	**100 %**	**0.60**

Table 4.2 – Concentration of Credit Risk of Our Multifamily Mortgage Portfolio

	June 30, 2026		
(Dollars in millions)	Portfolio UPB	% of Portfolio	Delinquency Rate[21]
Region:[22,23]			
Northeast	$129,249	26 %	0.92 %
West	116,794	23	0.24
Southeast	107,410	21	0.19
Southwest	97,901	19	0.72
North Central	53,616	11	0.37
Total	**$504,970**	**100 %**	**0.51**
State:[23]			
California	$62,776	12 %	0.25
Texas	61,184	12	0.74
Florida	46,035	9	0.12
New York	40,673	8	2.14
Georgia	22,200	4	0.19
All other	272,102	55	0.37
Total	**$504,970**	**100 %**	**0.51**

- For additional information on geographic concentration of Single-Family and Multifamily mortgage portfolios, refer to the 2025 Form 10-K at 180 (Note 15 Concentration of Credit and Other Risks).

[19] Excludes UPB of loans underlying certain securitization products for which data was not available.

[20] Region designation: West (AK, AS, AZ, CA, GU, HI, ID, MP, MT, NV, OR, UT, WA); Northeast (CT, DE, DC, MA, ME, MD, NH, NJ, NY, PA, RI, VT, VA, WV); Southeast (AL, FL, GA, KY, MS, NC, PR, SC, TN, U.S. VI); Southwest (AR, CO, KS, LA, MO, NE, NM, OK, TX, WY); North Central (IL, IN, IA, MI, MN, ND, OH, SD, WI)

[21] Based on loans two monthly payments or more delinquent or in foreclosure.

[22] Region designation: Northeast (CT, DE, DC, MA, ME, MD, NH, NJ, NY, PA, RI, VT, VA, WV); West (AK, AS, AZ, CA, GU, HI, ID, MP, MT, NV, OR, UT, WA); Southeast (AL, FL, GA, KY, MS, NC, PR, SC, TN, U.S. VI); Southwest (AR, CO, KS, LA, MO, NE, NM, OK, TX, WY); North Central (IL, IN, IA, MI, MN, ND, OH, SD, WI).

[23] Loans collateralized by properties located in multiple regions or states are reported entirely in the region or state with the largest UPB as of origination.

Past Due Mortgage Loans

- For information on the amount of loans and off-balance sheet credit exposures not past due or past due less than 30 days, past due 30 days but less than 90 days, past due 90 days or in foreclosure, and past due 90 days and still accruing, refer to the 2Q 2026 Form 10-Q at 51 (Table 3.8 - Amortized Cost Basis of Held-for-Investment Loans by Payment Status) and 58 (Table 4.2 - UPB of Loans Underlying Our Mortgage-Related Guarantees by Payment Status). The tables present the amortized cost basis of our single-family and multifamily held-for-investment loans, for which we have not elected the fair value option, by payment status and the UPB of mortgage loans underlying our mortgage-related guarantees by payment status.

Allowance for Credit Losses and Charge-offs

- For information on the balance of allowance for credit losses at the end of the period, charge-offs during the period, and reconciliation of changes in allowance for credit losses refer to the 2Q 2026 Form 10-Q at 59 (Table 5.1 - Details of the Allowance for Credit Losses).

The table below presents loans by past due status, along with the corresponding ratio of the allowance for credit losses.

Table 4.3 - Allowance for Credit Losses to Amortized Cost Basis

	June 30, 2026			
	Past Due Status			
(Dollars in millions)	Loans Not Past Due or Past Due Less Than 30 Days	Loans Past Due 30 Days but Less than 90 Days	Loans on Nonaccrual[24]	Loans Past Due 90 Days and Still Accruing
Single-Family:				
Amortized Cost Basis	$3,104,755	$37,455	$18,004	$—
Allowance for Credit Losses to Amortized Cost Basis	0.20 %	16.40 %	34.11 %	N/A
Multifamily:				
Amortized Cost Basis	172,743	159	186	—
Allowance for Credit Losses to Amortized Cost Basis	0.36 %	396.23 %	338.71 %	N/A

Contractual Principal Payments Due by Specified Timeframe for Mortgage Loans

The table below presents the contractual principal payments due on loans underlying our mortgage portfolio by specified timeframe.

Table 4.4 - Principal Amounts Due by Specified Timeframe for Mortgage Loans[25]

	June 30, 2026				
(Dollars in millions)	Due in One Year or Less	Due after One Year through Five Years	Due after Five Years through 15 Years	Due after 15 Years	Total
Single-Family Fixed Rate	$95,185	$407,481	$1,121,865	$1,475,859	$3,100,390
Single-Family Adjustable Rate	816	3,699	10,987	19,068	34,570
Single-Family Sub-Total	**96,001**	**411,180**	**1,132,852**	**1,494,927**	**3,134,960**
Multifamily Fixed Rate	22,624	229,639	163,301	11,937	427,501
Multifamily Adjustable Rate	1,843	29,110	44,834	1,134	76,921
Multifamily Sub-Total	**24,467**	**258,749**	**208,135**	**13,071**	**504,422**
Total	**$120,468**	**$669,929**	**$1,340,987**	**$1,507,998**	**$3,639,382**

[24] The vast majority of non-accrual loans are past due over 90 days. There is a small overlap between loans past due 30 days but less than 90 days and loans on non-accrual.

[25] For Single-Family, includes only UPB of mortgage loans held-for-investment. For Multifamily, includes UPB of the total mortgage portfolio, but excludes UPB of mortgage loans underlying off-balance sheet securitization trusts where we no longer have credit risk exposure.

5. COUNTERPARTY CREDIT RISK

Counterparty credit risk is the risk associated with the inability or failure of a counterparty to meet its contractual obligations.

We primarily manage our exposure to counterparty credit risk by:

- Maintaining eligibility standards;
- Evaluating creditworthiness and monitoring performance; and
- Working with underperforming counterparties and limiting our losses from their nonperformance of obligations, when possible.

- For information on counterparty risks on derivatives and repo-style transactions, refer to the 2025 Form 10-K at 66 (Financial Intermediaries, Clearinghouses, and Other Counterparties).

In addition to the risk management strategies above, we have defined guidelines to enable prudent risk management which are briefly described below.

Methodology Used to Assign Credit Limits

As part of the overall credit risk assessment, our counterparty credit exposures are assigned risk ratings and are subject to approval based on defined credit approval standards. In making credit decisions, we consider risk rating, collateral, country, industry, and single-name concentration limits while also balancing these considerations with the counterparty relationship. We use a variety of tools to continuously monitor the ability of a counterparty to perform under its obligations. We use risk rating aggregations to measure and evaluate concentrations within portfolios.

Policies for Securing, Valuing, and Managing Collateral

- For information on policies for securing, valuing, and managing collateral, refer to the 2025 Form 10-K at 66 (Derivative Counterparties), 162 (Note 9 Derivatives), and 167 (Note 10 Collateralized Agreements).
- For information on our Other investments counterparties, refer to the 2025 Form 10-K at 67 (Other Investments Counterparties).

Collateral and Creditworthiness

- For information on the primary types and amount of collateral taken and the impact of the amount of collateral we would have to provide for a given credit rating downgrade, refer to the 2025 Form 10-K at 66 (Financial Intermediaries, Clearinghouses, and Other Counterparties) and 163 (Derivative Counterparty Credit Risk).

Gross Positive Fair Value of Contracts, Collateral Held, and Net Unsecured Credit Exposure

The tables below present information on the gross positive fair value of contracts, collateral held, and net unsecured credit exposure.

Table 5.1 - Offsetting of Derivatives

	June 30, 2026	
(Dollars in millions)	Derivative Assets	Derivative Liabilities
OTC derivatives	$5,588	($4,031)
Cleared and exchange-traded derivatives	134	(8)
Mortgage commitment derivatives	103	(23)
Other	49	(810)
Total derivatives	**5,874**	**(4,872)**
Counterparty netting	(2,998)	2,998
Cash collateral netting[26]	(1,016)	1,001
Net amount presented in the condensed consolidated balance sheets	**1,860**	**(873)**
Gross amount not offset in the condensed consolidated balance sheets[27]	(1,493)	29
Net amount	**$367**	**($844)**

[26] Excess cash collateral held is presented as a derivative liability, while excess cash collateral posted is presented as a derivative asset.

[27] Does not include the fair value amount of non-cash collateral posted or held that exceeds the associated net asset or liability, netted by counterparty, presented on the condensed consolidated balance sheets.

Table 5.2 - Offsetting and Collateral Information of Certain Financial Assets and Liabilities

(Dollars in millions)	June 30, 2026	
	Securities Purchased Under Agreements to Resell	Securities Sold Under Agreements to Repurchase
Gross amount recognized	$57,089	($4,683)
Amount offset in the condensed consolidated balance sheets	(4,683)	4,683
Net amount presented in the condensed consolidated balance sheets	**$52,406**	**$—**
Gross amount not offset in the condensed consolidated balance sheets[28]	(52,406)	—
Net amount	**$—**	**$—**

Purchased and Sold Derivatives

The table below provides information on the notional amount of purchased and sold derivatives, including the distribution of the credit derivative products used, categorized further by protection bought and sold within each product group. We do not perform intermediation activities related to derivatives.

Table 5.3 - Derivative Assets and Liabilities at Fair Value

(Dollars in millions)	June 30, 2026		
	Notional or Contractual Amount	Derivative Assets	Derivative Liabilities
Not designated as hedges			
Interest-rate risk management derivatives:			
Swaps	$621,553	$1,160	($230)
Written options	68,480	—	(1,420)
Purchased options	120,970	4,291	—
Futures	87,338	—	—
Total interest-rate risk management derivatives	**898,341**	**5,451**	**(1,650)**
Mortgage commitment derivatives	82,420	39	(23)
CRT-related derivatives[29]	26,193	—	(106)
Other	39,864	50	(703)
Total derivatives not designated as hedges	**1,046,818**	**5,540**	**(2,482)**
Designated as fair value hedges			
Interest-rate risk management derivatives:			
Swaps	124,759	135	(2,390)
Total derivatives designated as fair value hedges	**124,759**	**135**	**(2,390)**
Receivables (payables)		199	—
Netting adjustments[30]		(4,014)	3,999
Total derivatives portfolio, net	**$1,171,577**	**$1,860**	**($873)**

[28] For securities purchased under agreements to resell, includes $57.0 billion of collateral that we had the right to repledge as of June 30, 2026. We did not repledge collateral as of June 30, 2026.
[29] Includes derivative instruments related to CRT transactions that are considered freestanding credit enhancements.
[30] Represents counterparty netting and cash collateral netting.

6. CREDIT RISK MITIGATION

This section covers credit risk concentration as well as non-securitized credit enhancements (CE), examples of which include primary mortgage insurance (MI), lender risk-sharing, and seller indemnification. Our CE via securitization, CRT, and reinsurance are covered in Section 7 CRT and Securitization.

We did not hold any collateral for non-securitized credit risk mitigation as of June 30, 2026.

Risk Concentrations and Credit Enhancement Providers

Based on our assessment of business conditions that could affect our financial results, we have determined that concentrations of credit risk exist among certain borrowers (including geographic concentrations), loan sellers and servicers, credit enhancement providers, and other investment counterparties.

- For a general discussion of our derivative counterparties as well as related master netting and collateral agreements, see Section 5 Counterparty Credit Risk.

The sections below discuss the concentration of credit risk for each of the groups to which we are exposed.

Single-Family Mortgage Portfolio

In the Single-Family mortgage portfolio, geographic concentrations may increase the exposure of our portfolio to credit risk, as regional economic conditions may affect a borrower's ability to repay and the underlying property value.

- For a summary of the concentration of Single-Family mortgage portfolio by geographic area, refer to Table 4.1.

Multifamily Mortgage Portfolio

In the Multifamily mortgage portfolio, concentration of credit risk depends on the legal structure of the investments we hold. Our exposure to credit risk in our senior subordinate securitization products is reduced by the subordinate tranches, which are typically sold to third-party investors. As a result, our Multifamily mortgage credit risk is primarily related to loans that have not been securitized or loans underlying our fully guaranteed securitizations.

Numerous factors affect the credit risk related to multifamily borrowers, including effective rents paid and capitalization rates for the mortgaged property. Effective rents paid vary among geographic regions of the United States. Geographic concentrations may increase the exposure of our portfolio to credit risk, as regional economic conditions may affect a multifamily borrower's ability to repay and the underlying property value.

- For a summary of the concentration of Multifamily mortgage portfolio by geographic area, refer to Table 4.2.

Sellers and Servicers

We acquire a significant portion of our Single-Family and Multifamily loan purchase and guarantee volume from several large sellers. Significant portions of our Single-Family and Multifamily loans are serviced by several large servicers.

- For additional information on the concentration of Single-Family and Multifamily sellers, refer to the 2025 Form 10-K at 180 (Note 15 Concentration of Credit and Other Risks).

We are also exposed to the risk that servicers might fail to service loans in accordance with the contractual requirements, resulting in increased credit losses. For example, our servicers have an active role in our loss mitigation efforts, and we, therefore, have exposure to them to the extent a decline in their performance results in a failure to realize the anticipated benefits of the loss mitigation plans. Since we do not have our own servicing operation, if our servicers lack appropriate controls, experience a failure in their controls, or experience an operational disruption in their ability to service loans, our business and financial results could be adversely affected.

- For information on the concentration of Single-Family and Multifamily servicers, refer to the 2025 Form 10-K at 180 (Note 15 Concentration of Credit and Other Risks)

Credit Enhancement Providers

We have counterparty credit risk relating to the potential insolvency of, or nonperformance by, mortgage insurers that insure single-family loans we purchase or guarantee.

We evaluate the recovery and collectability from mortgage insurers as part of the estimate of our allowance for credit losses. Changes in our expectations related to recovery and collectability from our credit enhancement providers may affect our estimates of expected credit losses, perhaps significantly.

- For a summary of the concentration of mortgage insurer counterparties who provided 10% or more of our overall primary mortgage insurance coverage, refer to the 2025 Form 10-K at 180 (Note 15 Concentration of Credit and Other Risks).

Other Investment Counterparties

We are exposed to the non-performance of counterparties relating to other investments (including non-mortgage-related securities and cash equivalents) transactions, including those entered into on behalf of our securitization trusts. Our policies require that the counterparty be evaluated using our internal counterparty rating model prior to our entering such transactions. We monitor the financial strength of our counterparties to these transactions and may use collateral maintenance requirements to manage our exposure to individual counterparties. The permitted term and dollar limits for each of these transactions are also based on the counterparty's financial strength.

Our other investments (including non-mortgage-related securities and cash equivalents) counterparties are primarily major institutions, including other GSEs, Treasury, the Federal Reserve Bank of New York, the Government Securities Division (GSD)/ Fixed Income Clearing Corporation (FICC), highly rated supranational institutions, depository and non-depository institutions, brokers and dealers, and government money market funds.

- For additional information on derivative counterparties' creditworthiness and the concentration of credit and other risks and main types of credit enhancement providers and their creditworthiness, refer to the 2025 Form 10-K at 66 (Derivative Counterparties) and 180 (Note 15 Concentration of Credit and Other Risks).

Exposures Covered by Eligible Financial Collateral and/or Guarantees

The table below presents exposure and post-CE RWA of Single-Family primary mortgage insurance and other non-CRT Single-Family credit enhancements.

Table 6.1 - Exposures and Post-CE RWA of Non-CRT Single-Family Credit Enhancements

	June 30, 2026	
(Dollars in millions)	Exposure	Post-CE RWA
Primary mortgage insurance	$684,961	$438,759
Other non-CRT credit enhancements	5,762	1,550
Less: exposures with multiple non-CRT credit enhancements	755	298
Total	**$689,968**	**$440,011**

7. CRT AND SECURITIZATION

To reduce our credit risk exposure, we engage in various types of credit enhancements, including CRT transactions and other securitized credit enhancements. We define CRT transactions as those arrangements where we actively transfer the credit risk exposure on mortgages that we own or guarantee.

Objectives for Securitizing Assets

Our CRT transactions are designed to reduce the amount of required capital related to credit risk, to transfer portions of credit losses on groups of previously acquired loans to third-party investors, and to reduce the risk of future losses to us when borrowers default.

- For additional information on Single-Family's and Multifamily's objectives for securitizing assets, refer to the 2025 Form 10-K at 45 and 60 (Credit Enhancements).

Scope of CRT and Securitization Exposures

CRT and Securitization exposures under this section include both on-balance sheet and off-balance sheet exposures that arise from traditional or synthetic securitizations, as well as eligible reinsurance risk transfer. Traditional securitization exposures are those where all or a portion of the credit risk of one or more underlying exposures is transferred to one or more third parties other than through the use of credit derivatives or guarantees, whereas synthetic securitizations utilize derivatives or guarantees to transfer the risk to a third-party. Eligible reinsurance risk transfer is defined as a credit transfer in which we transfer the credit risk on one or more mortgage exposures to one or more insurance companies or reinsurers that have been approved by us.

We had no affiliated entities in CRT securitization transactions as of June 30, 2026.

We had no retained or purchased resecuritization exposures that meet the ERCF criteria as of June 30, 2026.

Freddie Mac's Role and Involvement

We mainly act as an originator in traditional senior subordinated securitizations (for example Multifamily K Certificates and Single-Family reperforming loan senior subordinated securities) and synthetic CRT securitizations such as Structured Agency Credit Risk (STACR) debt notes and trust notes and Multifamily Structured Credit Risk (MSCR) debt notes and trust notes. We act as an insurance buyer in reinsurance CRT transactions which mainly include Agency Credit Insurance Structure (ACIS) and Multifamily Credit Insurance Pool (MCIP).

Nature of Inherent Risks

- For details on risks in our CRT and securitization, refer to the 2025 Form 10-K at 103 (Credit Risks), 108 (Market Risks), and 183 (Credit Enhancement Providers).

Risk Management, Monitoring, and Mitigation

We require our ACIS and MCIP counterparties to partially collateralize their exposure to reduce the risk that we will not be reimbursed for our claims under the policies.

- For information on ACIS and MCIP collateral, refer to the 2025 Form 10-K at 65 (ACIS Counterparties) and 66 (MCIP Counterparties).

We monitor the costs and potential benefits provided by the CRT coverage we have obtained on a regular basis, including the impact of CRT on our capital requirements under the ERCF. We may periodically terminate certain CRT transactions, through the exercise of contractual call options, repurchases of outstanding securities, or other means, if we determine prior to contractual maturity that they are no longer economically sensible.

- For details on managing the credit risk retained through securitization via loss mitigation activities, refer to the 2025 Form 10-K at 55 (Loss Mitigation Activities) and 62 (Managing Our Portfolio, Including Loss Mitigation Activities).

Risk-Based Capital Approaches

All of our CRT deals follow the Credit Risk Transfer Approach (CRTA) for measuring risk-based capital. We may elect to not recognize a CRT transaction that does not provide ERCF capital relief. We apply the Simplified Supervisory Formula Approach (SSFA) for certain legacy private label security (PLS) securitization exposures that have not been originated by us.

Securitization Special Purpose Entities (SPEs)

Our Multifamily segment occasionally securitizes loans or bonds contributed by third parties that are underwritten by us after origination.

- For information on our securitization of third-party exposures and the off-balance sheet accounting treatment of our interests in such VIEs, refer to the 2025 Form 10-K at 59 (Credit Quality of New Business Activity) and 134 (Note 3 Securitization and Consolidation).

Accounting Policies and Valuation Method

- For information on traditional securitization and other securitization products, refer to the 2025 Form 10-K at 135 (Note 3 Securitization and Consolidation).
- For information on trust note transactions, refer to the 2025 Form 10-K at 137 (Note 3 Securitization and Consolidation, CRT Products).
- For information on accounting treatment of STACR debt note and MSCR, refer to the 2025 Form 10-K at 45 and 60 (Credit Enhancements).
- For information on summary of accounting treatment of our CRT securitizations, refer to the 2025 Form 10-K at 45 and 60 (Credit Enhancements).
- For information on our election of the fair value option, refer to the 2025 Form 10-K at 185 (Note 16 Fair Value Disclosures).
- For details of methods and key assumptions applied in valuing assets and liabilities at fair value, refer to the 2025 Form 10-K at 185 (Note 16 Fair Value Disclosures).
- For information on how exposures intended to be securitized are valued, refer to the 2025 Form 10-K at 186 (Note 16 Fair Value Disclosures, Valuation Techniques).

Significant Changes

- For an explanation of significant changes in quantitative information related to new CRT issuance since last reporting period, refer to the 2Q 2026 Form 10-Q at 18 and 24 (Credit Enhancements).

On- & Off-Balance Sheet Exposures of Securitization and Reinsurance CRT, Past Due Amount and Loss Recognized

The table below presents on- and off-balance sheet exposures by type of underlying collateral. These exposures are related to both traditional and synthetic securitization transactions as well as reinsurance CRT. Note that the table excludes CRT transactions that no longer provide capital relief and may include transactions that were not executed as of the period end.

Table 7.1 - On- & Off-Balance Sheet Securitization and Reinsurance CRT Exposures, Past Due Amount and Loss Recognized

	June 30, 2026						
(Dollars in millions)	Total Exposure	On-Balance Sheet Exposure	Off Balance Sheet Exposure	Retained	Acquired	Past-due Amount[31]	Loss Recognized During the Quarter
Traditional[32]							
Single-Family securitization	$23,778	$—	$23,778	$23,778	$—	$2,002	$—
Multifamily securitization	284,361	716	283,645	284,361	—	1,999	—
Private label securities	298	298	—	—	298	4	—
Synthetic/Reinsurance CRT							
Single-Family CRT	1,559,080	1,559,080	—	1,559,080	—	12,758	47
Multifamily CRT	144,092	140,119	3,973	144,092	—	206	1
Total securitization and CRT exposure	**$2,011,609**	**$1,700,213**	**$311,396**	**$2,011,311**	**$298**	**$16,969**	**$48**

[31] Sixty days or more past due.

[32] Retained Single-Family securitization exposure includes non-CRT other securitization products collateralized by non-Freddie Mac mortgage-related securities. Retained Multifamily securitization exposure includes non-CRT Front-End Credit Enhancements.

Securitization and Reinsurance CRT Exposures and Risk-based Capital Treatment

The table below presents our securitization and reinsurance CRT exposures and the associated risk-based capital treatment as of June 30, 2026.

Table 7.2 - Securitization and Reinsurance CRT Exposures and Risk-based Capital Treatment

(Dollars in millions)	June 30, 2026				
	Total Exposure	RWA	RWA by Calculation Methodology		
			SSFA	CRTA	1250% Risk Weighted
Traditional					
Single-Family securitization	$23,778	$1,928	$774	$1,154	$—
Multifamily securitization	284,361	29,137	2,831	26,306	—
Private label securities	298	560	560	—	—
Synthetic/Reinsurance CRT					
Single-Family CRT	1,559,080	366,975	—	366,975	—
Multifamily CRT	144,092	18,142	—	18,142	—
Total securitization and CRT exposure	**$2,011,609**	**$416,742**	**$4,165**	**$412,577**	**$—**

Securitization and Reinsurance CRT Exposures and Risk Weight Bands

The table below presents our securitization and reinsurance CRT exposures and the associated risk weight bands and capital impact of RWA as of June 30, 2026.

Table 7.3 - Securitization and Reinsurance CRT Exposures and Risk Weight Bands

(Dollars in millions)	June 30, 2026			
	Total Exposure	SSFA Risk-Weighted Assets	CRTA Risk-Weighted Assets	Capital Impact of RWA[33]
Securitization/Reinsurance CRT				
Zero to 20%	$1,529,457	$1,803	$164,599	$7,488
21% to 50%	306,824	738	97,717	4,430
51% to 100%	130,498	373	89,106	4,027
Over 100%	44,830	1,251	61,155	2,808
Resecuritization				
Zero to 20%	—	—	—	—
21% to 50%	—	—	—	—
51% to 100%	—	—	—	—
Over 100%	—	—	—	—
Total CRT and securitization/ resecuritization exposure	**$2,011,609**	**$4,165**	**$412,577**	**$18,753**

[33] Required CET1 capital amount associated with the exposure.

Assets Intended for Securitization and Reinsurance CRT and Related Activities

The table below presents assets pending securitization (i.e., assets held with the intent to securitize) and Reinsurance CRT and our year-to-date securitization and reinsurance CRT activities. Due to a recent change in Multifamily business strategy to focus primarily on issuing fully guaranteed securitization transactions, we have shifted our approach to primarily using MCIP and MSCR notes to transfer credit risk, instead of senior subordinate securitizations. We did not have gain-on-sale on a securitization that has been deducted from CET1 capital as of June 30, 2026.

Table 7.4 - Assets Intended for Securitization and CRT and Related Activities

	June 30, 2026		
(Dollars in millions)	Assets Pending Securitization or CRT	Securitized or Packaged into CRT YTD	Recognized Gain/Loss on Sale YTD
Traditional[34]			
Single-Family securitization	$1,165	$—	$—
Multifamily securitization	73	993	—
Private label securities	—	—	—
Synthetic/Reinsurance CRT[35]			
Single-Family CRT	—	102,868	—
Multifamily CRT	33,632	42,581	—
Total securitization and CRT exposure	**$34,870**	**$146,442**	**$—**

[34] Single-Family assets pending securitization into traditional securities represent held-for-sale population primarily intended for senior subordinate securitizations as of quarter-end. Multifamily assets pending securitization into traditional securities represent retained loans intended for K-Deal or other similar senior subordinate securitizations.

[35] Single-Family assets pending securitization into synthetic securities and reinsurance arrangements represent those STACR and ACIS transactions when a third-party broker/dealer is engaged, and collateral has been targeted for a CRT transaction. The assets are considered to be held with the intent to securitize and represented by assets pending securitization. Multifamily assets pending securitization into synthetic securities and reinsurance arrangements represent (a) retained held-for-investment loans intended to be securitized into Multifamily Participation Certificates (Multi PCs®) and other securities that are fully guaranteed by Freddie Mac, and (b) Multi PCs® and other guaranteed securities, as applicable, that have not yet been credit enhanced by an MCIP reinsurance and/or an MSCR transaction.

8. EQUITIES

Our equity investments include Multifamily investments in certain non-publicly traded Low-Income Housing Tax Credit (LIHTC) partnerships. We have elected to account for these investments using the proportional amortization method when applicable.

These LIHTC partnerships invest directly in limited partnerships that own and operate affordable multifamily rental properties that generate federal income tax credits and deductible operating losses. Our ongoing investment in LIHTC partnerships helps to support and preserve the supply of affordable housing.

The tables below present carrying value, RWA, and capital impact of RWA of LIHTC as of June 30, 2026.

Table 8.1 - Multifamily LIHTC Carrying Value and RWA

	June 30, 2026		
(Dollars in millions)	Public	Non-Public	Total
Carrying value	$—	$5,545	$5,545
Unrealized gains/losses	—	—	—
Unrealized gains/losses not recognized on the balance sheet or through earnings	—	—	—
Fair value[36]	$—	$5,545	$5,545
Unrealized gains/losses included in risk-based capital	—	—	—
YTD Cumulative realized gains/losses from sales and liquidation	—	—	—

Table 8.2 - Multifamily LIHTC Risk Weight Band

	June 30, 2026		
(Dollars in millions)	Exposure	RWA	Capital Impact of RWA[37]
0% Risk Weight	$—	$—	$—
20%	—	—	—
100%	5,545	5,545	250
300%	—	—	—
400%	—	—	—
600%	—	—	—
Total	**$5,545**	**$5,545**	**$250**

[36] Mathematical sum of above line items. Non-publicly traded investments do not have readily determinable fair values.
[37] Required CET1 capital amount associated with the exposure.

9. INTEREST-RATE RISK FOR NON-TRADING ACTIVITIES

Interest-rate risk is the economic risk related to adverse changes in the level or volatility of interest rates. Interest rates can fluctuate for many reasons, including changes in the fiscal and monetary policies of the federal government and its agencies as well as geopolitical events or changes in general economic conditions, such as increased inflation.

Changes in interest rates could adversely affect the cash flows and prepayment rates on assets that we own and related debt and derivatives. In addition, changes in interest rates could adversely affect the prepayment rate or default rate on the loans that we guarantee. For example, when interest rates decrease, borrowers are more likely to prepay their loans by refinancing them at a lower rate. An increased likelihood of prepayment on the loans underlying our mortgage-related securities may adversely affect the value of these securities.

Interest-rate risk is managed across both non-trading and any limited trading activities we undertake. We measure the impact of interest rate shifts on the prices and durations of our interest-rate sensitive assets and liabilities daily.

- For a detailed discussion of our interest-rate risk management, including the nature of interest-rate risk for all applicable activities, key assumptions, and the use of interest-rate derivatives as hedges to manage interest-rate risk, refer to the 2025 Form 10-K at 68 (Market Risk) and 108 (Market Risks).
- For the increase (decline) in earnings or economic value for upward and downward rate shocks according to management's method for measuring interest-rate risk for all applicable activities, refer to the 2Q 2026 Form 10-Q at 25 (Interest-Rate Risk).

10. OPERATIONAL RISK

Operational risk is the risk of direct or indirect loss resulting from inadequate or failed internal processes, people, or systems or from external events. Operational risk is inherent in all of our activities.

Operational risk events include breakdowns related to people, processes, and/or technology that could result in financial loss, legal actions, regulatory fines and restrictions, and reputational harm. Operational risk includes people, reporting, transactions and governance, information, technology, third-party resiliency, and models. As part of the Enterprise Risk Framework, operational risks are identified, assessed, controlled, monitored, and reported.

Our current approach for measuring operational risk capital is based on a Standardized Approach of 15 basis points of our ATA. We are working towards implementing an Advanced Measurement Approach (AMA) which is targeted for implementation in 2028. Additional disclosures behind the model and considerations will be provided after AMA is implemented.

- For general information on operational risk, refer to the 2025 Form 10-K at 73 (Operational Risk). For a description of the use of insurance to mitigate operational risk, refer to the 2025 Form 10-K at 111 (Operational Risks).

11. TIER 1 LEVERAGE RATIO

Under the ERCF, the Tier 1 leverage ratio is calculated as available Tier 1 Capital under the ERCF divided by our ATA.

Our available Tier 1 Capital consists of total equity minus senior preferred stock, DTA arising from temporary differences that exceed 10% of CET1 capital, and certain other items with immaterial balances.

Our ATA for the same period mainly consists of total on-balance sheet assets and Single-Family and Multifamily off-balance sheet financial guarantees, which mainly include Single-Family and Multifamily exposures from securitization activity guarantees, other mortgage-related guarantees and guarantees of Fannie Mae securities.

Tier 1 leverage requirement acts as a backstop to risk-based capital requirements as it is less sensitive to risk and less prone to model and assumption errors.

Accounting Assets and Adjusted Total Assets

The table below presents a summary comparison of our accounting assets and our ATA.

Table 11.1 - Reconciliation of Accounting Total Assets to Adjusted Total Assets

	June 30, 2026
(Dollars in millions)	**Amount**
Total consolidated assets as reported in published financial statements	$3,518,315
Adjustment for fiduciary assets recognized on balance sheet but excluded from total leverage exposure	—
Adjustment for derivative exposures	1,653
Adjustment for repo-style transactions	7,799
Adjustment for off-balance sheet exposures (that is, conversion to credit equivalent amounts of off-balance sheet exposures)	375,398
Other adjustments	2,314
Adjusted Total Assets	**$3,905,479**

Tier 1 Capital Leverage Ratio

The table below presents the components of our Tier 1 Capital Leverage Ratio.

Table 11.2 - Composition of Adjusted Total Assets and Tier 1 Leverage Ratio

(Dollars in millions)	June 30, 2026 Amount
On-balance sheet exposures	
On-balance sheet assets (excluding on-balance sheet assets for repo-style transactions and derivative exposures, but including cash collateral received in derivative transactions and add-back of allowance for credit losses)	$3,471,007
Less: Amounts deducted from Tier 1 Capital	4,644
Total on-balance sheet exposures (excluding on-balance sheet assets for repo-style transactions and derivative exposures, but including cash collateral received in derivative transactions)	3,466,363
Derivative exposures	
Current exposure for derivative exposures (that is, net of cash variation margin)	1,305
Add-on amounts for potential future exposure (PFE) for derivative exposures	741
Gross-up for cash collateral posted if deducted from the on-balance sheet assets, except for cash variation margin	—
Less: Deductions of receivable assets for cash variation margin posted in derivative transactions, if included in on-balance sheet assets	—
Less: Exempted CCP leg of client-cleared transactions	—
Effective notional principal amount of sold credit protection	—
Less: Effective notional principal amount offsets and PFE adjustments for sold credit protection	—
Default Fund Contributions	1,468
Total derivative exposures	3,514
Repo-style transactions	
On-balance sheet assets for repo-style transactions, except include the gross value of receivables for reverse repurchase transactions. Exclude from this item the value of securities received in a security-for-security repo-style transaction where the securities lender has not sold or re-hypothecated the securities received. Include in this item the value of securities that qualified for sales treatment that must be reversed	57,089
Less: Reduction of the gross value of receivables in reverse repurchase transactions by cash payables in repurchase transactions under netting agreements	—
Counterparty credit risk for all repo-style transactions	3,115
Exposure for repo-style transactions where the Enterprise acts as an agent	—
Total exposures for repo-style transactions	60,204
Other off-balance sheet exposures	
Off-balance sheet exposures at gross notional amounts	389,313
Less: Adjustments for conversion to credit equivalent amounts and off-balance sheet exposures held in retained portfolio	13,915
Off-balance sheet exposures	375,398
Capital and Adjusted Total Assets	
Tier 1 Capital	477
Adjusted total assets (sum of total on-balance sheet exposures, total derivative exposures, total exposures for repo-style transactions, and off-balance sheet exposures)	$3,905,479
Tier 1 leverage ratio	
Tier 1 leverage ratio (in percent)	— %

12. MARKET RISK DISCLOSURES

Our business segments have embedded exposure to market risk, which is the economic risk associated with adverse changes in interest rates, volatility, and spreads. Market risk can adversely affect future cash flows, or economic value, as well as earnings and net worth. The primary sources of interest-rate risk are from our investments in mortgage-related assets, non-mortgage assets (including U.S. Treasury Securities), the debt we issue to fund these assets, and our Single-Family guarantees.

Market risk under the ERCF reflects spread risk and defines covered position as any asset that has more than de minimis spread risk (other than any intangible asset, such as any servicing asset). Based on the ERCF, measurement of market risk approaches include prescribed capital percentage, spread duration approach, and internal model method. For additional details, refer to Table 12.1.

Characteristics of the Internal Models Used in Market Risk Capital Calculations

As the ERCF regulation requires that the market risk capital be limited to spread risk, the Investment and Capital Markets (ICM) market risk capital model is designed to be consistent with a 99.9% Value at Risk (VaR) spread return loss over a one-year holding period, with an adjustment to explicitly account for the impact from potential prepayment model error.

The model reflects a blended approach, using historical spread returns to establish a backward-looking basis for the 99.9% VaR. Then on a forward-looking basis, it measures the prepayment model uncertainty relative to our past experience. The spread return used in the model is based on key unhedged components, with the primary driver being profit and loss attributed to the variability of Option-Adjusted Spread (OAS).

Market value and spread duration for Multifamily loans and security investments are monitored and used as inputs to compute market risk capital based on a single point spread shock as prescribed by ERCF. We leverage the internal Multifamily market risk capital model for securities where the spread shock is not prescribed by ERCF (e.g., Interest-Only (IO) securities).

Benchmarking of Internal Estimates

In model development, we aim to use available historical data on spread returns. In this sense, the ICM market risk capital model is periodically updated. In addition, we have ongoing monitoring in place to benchmark the model results against Dodd Frank Act Stress Testing (DFAST).

Material Portfolios

- For the composition of the material portfolio of covered positions, refer to Table 12.1.

Valuation Policies, Procedures, and Methodologies

- For information on our valuation policies, procedures, and methodologies for covered positions and securitization positions, the methods and key assumptions used for valuing such positions, refer to the 2025 Form 10-K at 185 (Note 16 Fair Value Disclosures).

Internal Modeling

- For information on the approaches used for validating and evaluating the accuracy of models and modeling processes, refer to the 2025 Form 10-K at 76 (Model Risk).

Stress Test

Stress testing of our credit spread risk is included as a component of the annual regulatory DFAST requirements. The global market shock component consists of applying instantaneous spread shocks provided by FHFA to trading securities, available-for-sale securities, derivatives, and other assets and debt measured at fair value under GAAP accounting.

We use models to analyze possible future interest-rate scenarios, along with the cash flows of our assets and liabilities over those scenarios.

We calculate our exposure to changes in interest rates for our interest-rate sensitive assets and liabilities using effective duration and effective convexity, based on our models.

- For information on our application of models to analyze the outcome of different interest-rate scenarios, refer to the 2025 Form 10-K at 68 (Market Risk). For information on the scenarios applied to the positions subject to particular interest rate risk factors, refer to the 2Q 2026 Form 10-Q at 25 (Interest-Rate Risk).

Market Risk Change Monitoring

- For information related to market risk change monitoring, including monitoring changes in the market risk of securitization positions, refer to the 2025 Form 10-K at 68 (Market Risk), and the 2Q 2026 Form 10-Q at 25 (Market Risk). We have no resecuritization exposure as of June 30, 2026.

Exposure Amounts and Risk-Weighted Assets

The table below presents the exposure amounts and RWA by each product type included in covered positions of any material portfolio.

Table 12.1 - Market Risk Exposures and RWA

(Dollars in millions)	June 30, 2026	
	Exposure	Standardized Market RWA
Single Point Approach		
Mortgage exposures that are not secured by an MBS guaranteed by the Enterprise		
Non-performing loans	$6,866	$4,077
Reperforming loans	26,816	15,922
Reverse mortgage loans	—	—
Reverse mortgage securities	—	—
Spread Duration Approach		
Multifamily mortgage exposures	21,136	1,903
Private-Label securities[38]	641	607
MBS (non-IO) guaranteed by an Enterprise or by Ginnie Mae and secured by multifamily mortgage exposures	2,523	1,927
Internal Estimates		
Covered positions that are not subject to the Single Point or Spread Duration Approaches		
Single-Family MBS guaranteed by the Enterprise	61,601	43,509
Single-Family MBS guaranteed by Ginnie Mae	—	—
Single-Family MBS guaranteed by the other Enterprise	1,024	1,052
Multifamily IO securities guaranteed by an Enterprise or Ginnie Mae	1,058	1,207
Commercial MBS	43	7
CRT exposures[39]	1,088	889
Other securitization exposures	3,411	2,968
Performing loans, not securitized	19,000	9,125
Commitments and TBAs	(25,109)	(10,571)
Other trading assets and liabilities	267	134
Total	**$120,365**	**$72,756**

[38] Market risk exposure and RWA of on-balance sheet PLS.
[39] Market risk exposure and RWA of off-balance sheet re-performing loan senior subordination securities.

GLOSSARY

This Glossary includes acronyms and defined terms that are used throughout this report.

- **ACIS** - Agency Credit Insurance Structure - Transactions in which we purchase insurance policies that provide credit enhancement for certain specified credit events on the mortgage loans in the related reference pools, or provide front-end credit risk transfer as loans come into the portfolio. Under each of these insurance policies, we pay monthly premiums that are determined based on the outstanding balance of the reference pool. When specific credit events occur, we generally receive compensation from the insurance policy up to an aggregate limit based on actual losses.
- **CCP** - Central counterparty, counterparty (for example, a clearing house) that facilitates trades between counterparties in one or more financial markets by either guaranteeing trades or novating contracts.
- **CET1** - Common Equity Tier 1.
- **Charge-Offs** - Represent the amount of a financial asset that is removed from our consolidated balance sheets when deemed uncollectible, regardless of when the impact of the credit loss was recorded on our consolidated statements of comprehensive income. For mortgage loans, generally the amount of a charge-off is the recorded investment in excess of the fair value of the loan's collateral.
- **Credit Enhancement or CE** - A financial arrangement that is designed to reduce credit risk by partially or fully compensating an investor in a mortgage or security (e.g., Freddie Mac) in the event of specified losses. Examples of credit enhancements include insurance, CRT transactions, overcollateralization, indemnification agreements, and government guarantees.
- **CRT** - Credit Risk Transfer - Arrangements where we actively transfer the credit risk exposure on mortgages that we own or guarantee.
- **Duration** - A measure of a financial instrument's price sensitivity to changes in interest rates.
- **Enterprises** - Freddie Mac and Fannie Mae.
- **ERCF** - Enterprise Regulatory Capital Framework - Final rule adopted by FHFA in 2020 that establishes a new regulatory capital framework for Freddie Mac and Fannie Mae as amended from time to time.
- **Fannie Mae** - Federal National Mortgage Association.
- **FHFA** - Federal Housing Finance Agency - An independent agency of the U.S. government with responsibility for regulating Freddie Mac, Fannie Mae, and the FHLBs.
- **GAAP** - Generally Accepted Accounting Principles in the United States of America.
- **GSEs** - Government-sponsored enterprises - Refers to certain legal entities created by the U.S. government, including Freddie Mac, Fannie Mae, and the FHLBs.
- **MBS** - Mortgage-Backed Security.
- **MCIP** - Multifamily Credit Insurance Pool.
- **MDB** - Multilateral Development Banks.
- **Multifamily loan** - A loan secured by a property with five or more residential rental units or by a manufactured housing community.
- **MSCR** - Multifamily Structured Credit Risk - Consists of MSCR notes and SCR debt notes.
- **MSCR note** - Multifamily Structured Credit Risk note - A debt security issued by a nonconsolidated trust where the principal balance is linked to the credit performance of a reference pool of multifamily loans owned or guaranteed by Freddie Mac. We make payments to the trust to support payment of the interest due on the notes, and we receive payments from the trust as a result of defined credit events on the reference pool.
- **Net Worth** - The term Net Worth is defined as our total assets (excluding Treasury's commitment and any unfunded amounts thereof), less our total liabilities (excluding any obligation in respect of capital stock), in each case as reflected on our consolidated balance sheets prepared in conformity with GAAP.
- **Non-accrual loan** - A loan for which we are not accruing interest income. We place loans on non-accrual status when we believe collectability of principal and interest in full is not reasonably assured, which generally occurs when a loan is three monthly payments past due, unless the loan is well secured and in the process of collection based upon an individual loan assessment.
- **OAS** - Option-Adjusted Spread - An estimate of the incremental yield spread between a particular financial instrument (e.g., a security, loan, or derivative contract) and a benchmark yield curve (e.g., SOFR, agency, or U.S. Treasury securities). This

includes consideration of potential variability in the instrument's cash flows resulting from any options embedded in the instrument, such as prepayment options. When the OAS on a given asset widens, the fair value of that asset will typically decline, all other market factors being equal. The opposite is true when the OAS on a given asset tightens.

- **Preferred Stock** - Preferred Stock as defined and described in Exhibit 4.30 of the 2025 Form 10-K.
- **PSE** - Public Sector Entities
- **Purchase Agreement / Senior Preferred Stock Purchase Agreement** - An agreement that we through the Conservator, acting on our behalf, entered into with Treasury on September 7, 2008, relating to Treasury's purchase of senior preferred stock and warrant, which was subsequently amended and restated on September 26, 2008 and further amended on May 6, 2009, December 24, 2009, August 17, 2012, December 21, 2017, September 27, 2019, January 14, 2021, September 14, 2021, and January 2, 2025.
- **SCR Debt note** - Structured Credit Risk debt note - A debt security where the principal balance is subject to the performance of a reference pool of multifamily loans guaranteed by Freddie Mac.
- **Senior Preferred Stock** - The shares of Variable Liquidation Preference Senior Preferred Stock issued to Treasury under the Purchase Agreement.
- **Seriously Delinquent or SDQ** - Single-family loans that are three monthly payments or more past due or in the process of foreclosure as reported to us by our servicers. Unless stated otherwise, SDQ rates presented in this report refer to gross SDQ rates before consideration of credit enhancements.
- **STACR Debt note** - Structured Agency Credit Risk debt note - A Freddie Mac issued debt security where the principal balance is linked to the credit performance of a reference pool of single-family loans owned or guaranteed by Freddie Mac.
- **STACR Trust note** - Structured Agency Credit Risk Trust note - A debt security issued by a nonconsolidated trust where the principal balance is linked to the credit performance of a reference pool of single-family loans owned or guaranteed by Freddie Mac. We make payments to the trust to support payment of the interest due on the notes, and we receive payments from the trust as a result of defined credit events on the reference pool.
- **Swaption** - An option contract to enter into an interest-rate swap. In exchange for an option premium, a buyer obtains the right but not the obligation to enter into a specified swap agreement with the issuer on a specified future date.
- **UPB** - Unpaid principal balance - Loan UPB amounts in this report have not been reduced by charge-offs recognized prior to the loan being subject to a foreclosure sale, deed in lieu of foreclosure, or short sale transaction.
- **VIE -** Variable Interest Entity - A VIE is an entity that has a total equity investment at risk that is not sufficient to finance its activities without additional subordinated financial support provided by another party, or where the group of equity holders does not have: (1) the ability to make significant decisions about the entity's activities; (2) the obligation to absorb the entity's expected losses; or (3) the right to receive the entity's expected residual returns.
- **YTD** - Year-to-Date.